THE TRADING FOUNDRY

TRADING FOUNDRY UNIVERSITY · PLAYBOOK 2 OF 15 · BEGINNER

# Trend Following & Market Structure

Reading swing highs and lows to define trend direction, then aligning trades with the prevailing market structure until it demonstrably breaks.




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Educational content only — not financial advice. Capital at risk.

# Watch the Film, Then Read the Book

This playbook goes deeper than the video can. Watch the companion film first for the method in motion, then work through the chapters at your own pace. Scan a code with your phone camera.

**COMPANION FILM**

**Why You're Losing Trades (And How the Pullback Fixes It)**

youtube.com/watch?v=qiVimu89ZFI

**COMPANION FILM**

**The Only Trend Definition You Need To Know**

youtube.com/watch?v=dl7GrlZOBb0

**COMPANION FILM**

**The Complete Guide to Trend Lines**

youtube.com/watch?v=UaiFiQ9l6jE

# Trend Following & Market Structure

## The Complete Course

Trading Foundry University — Playbook 2 of 15

First Edition — 2026

> *This book is educational content only and is not financial advice. Nothing in it is a recommendation to buy or sell any currency pair or any other instrument. Every chart scenario, price level and worked example is an illustration of technique, not a signal. Trading foreign exchange carries a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose.*

# How to Use This Book

This is a short book about a big idea: that price movement has a skeleton, and once you can see the skeleton you stop guessing. The whole course rests on one skill — reading swing highs and swing lows — and everything else, from trendlines to multi-timeframe analysis, is that skill applied with more care.

Read the book twice. The first pass is for the ideas. Read it in order, front to back, because each chapter leans on the one before it. Chapter 2 defines the building blocks; Chapter 3 assembles them into trends; Chapter 4 tells you when the assembly breaks. Skip ahead and you will find yourself using words like "break of structure" without a working definition, which is precisely the habit this book exists to cure.

The second pass is for the chart work. Every chapter ends with something you can do on a chart, and the honest truth is that reading about swing points does roughly nothing for you. Marking two hundred of them by hand does a great deal. Open a demo charting platform, pick two or three major pairs, and label structure until it becomes boring. Boring is the goal. When identifying a higher low feels as automatic as reading a road sign, you have the skill.

Keep a notebook. Physical or digital, it doesn't matter, but write down every structure call you make and — more importantly — every one you get wrong. Your errors will cluster. Some readers habitually call trends too early; others hang on to broken trends out of loyalty. You cannot fix a bias you haven't measured.

Go at your own pace. Nine chapters could be read in a weekend, but the chart work behind them is a month of evenings, and there is no prize for finishing early. Markets will still be there.

Finally: every chapter has a companion video, free on the Trading Foundry YouTube channel (@thetradingfoundry), where we mark structure live on real charts. The book gives you the framework; the videos show you the mess of reality. Use both.

# Chapter 1 — Why Trend Is the Trader's Compass

## The oldest edge in the game

Ask ten traders what their edge is and you'll hear ten different stories — indicators, algorithms, gut feel honed over decades. Strip the stories back and a large share of what actually works reduces to one unglamorous observation: prices that have been moving in a direction have a modest tendency to keep moving in that direction, and fighting that tendency is expensive.

This is not mysticism. Currency trends exist for structural reasons. Central banks move interest rates in cycles, not single jumps — a hiking cycle in one economy against a holding pattern in another creates a persistent flow of capital that can run for months. Large institutions cannot enter positions in one go; a fund allocating billions builds the position over weeks, leaving footprints in the same direction again and again. And human psychology does the rest: traders who missed the first leg buy the dip, traders trapped the wrong way capitulate, and both actions push price further along the path it was already on.

None of this means trends are guaranteed to continue. They are not, and the moment you treat trend-following as a certainty machine you have stopped trading and started hoping. What it means is humbler and more useful: when you don't know what will happen next — which is always — the direction price has been travelling is the least-bad default assumption. That's the compass. It doesn't tell you where treasure is buried. It stops you walking in circles.

## Why beginners fight the trend

Here is the uncomfortable bit. Most new traders don't follow trends. They fade them. They see a pair that has risen for three weeks and think "surely it's too high now," and they sell. It feels clever. It feels like buying in a sale. And it is, frequently, how first accounts die.

The instinct comes from ordinary life, where mean reversion is everywhere. The weather turns. The queue at the supermarket evens out. "What goes up must come down" is decent physics and dreadful trading psychology, because a currency pair is not a ball thrown in the air — it's a price attached to two economies, and if one economy is genuinely diverging from the other, "too high" can get considerably higher for considerably longer than your account can tolerate.

There is also an ego component, and we may as well be honest about it. Calling the exact top of a trend feels heroic. Joining a trend that everyone can see feels pedestrian. But trading rewards being profitable, not being interesting, and the trader who takes the

pedestrian trade in the direction of the prevailing move is playing with the current rather than against it. Save the heroics for five-a-side.




**Figure.** A sustained uptrend with the 50-period average riding above the 200. The lesson is not the averages themselves but the persistence: trends frequently run far longer than feels reasonable, which is exactly why fading them on instinct is expensive.

## What this course will and won't do

Let's set the contract now, because this book will keep its promises only if they're the right promises.

This course will teach you to define trend objectively — not "it looks up to me" but a mechanical reading of swing highs and swing lows that two traders looking at the same chart would agree on. It will teach you to distinguish a trend that is pausing from a trend that is breaking, which is the single decision that separates patient trend followers from stubborn bag-holders. It will give you entry frameworks for joining an established trend, and a checklist for recognising when a trend is exhausting so you're not the last one aboard.

What it won't do is remove losing trades. Trend-following methods lose often — a structure that looks pristine can break one candle after you commit to it. The method's honesty is precisely that it tells you, quickly and visibly, when you're wrong. A broken structure is a broken thesis. You exit, you log it, you move on. Traders who need to be right on every trade should close this book now; traders who want a framework where being wrong is cheap and being right is allowed to run should read on.

One more expectation to set: everything here is a framework for you to test, on demo, on your own charts, at your own pace. We will walk through examples — "suppose EUR/USD has been printing higher highs since early spring" — and every one of them is an illustration

of technique. None of them is a suggestion about what any pair will do next week. That distinction matters legally, but it matters practically too: the skill you're building is reading structure yourself, not borrowing someone else's reading.

## The compass, not the map

A compass tells you which way you're facing. It doesn't tell you where the cliffs are, how long the journey takes, or whether you should be making it at all. Trend is exactly that. Knowing the daily structure of GBP/JPY points up doesn't tell you where to enter, how much to risk, or when the trend will end. Those questions have their own chapters. But without the compass, every other decision is built on sand — the best entry technique in the world, aimed the wrong way, is just an efficient method of losing.

So the discipline this course asks of you is simple to state and genuinely hard to live: before any other analysis, on any chart, answer one question first. *Which way is structure pointing, and how would I know if that changed?* Everything else in this book is the long version of that sentence.

> **CHAPTER 1 IN ONE SENTENCE:**
>
> Trend is the trader's least-bad default assumption — a compass that points your analysis in the direction price is already travelling, without ever promising the journey is safe.

# Chapter 2 — Swing Highs and Swing Lows: The Building Blocks

## The atoms of structure

Every chart, on every timeframe, is a zigzag. Price does not travel in straight lines; it advances, retreats, advances again. The turning points of that zigzag — the peaks and the troughs — are called swing highs and swing lows, and they are the atoms from which all market structure is built. Trends, ranges, breakouts, reversals: every one of them is just a particular arrangement of swings. Learn to see swings accurately and the rest of this course is assembly instructions.

A swing high is a peak: a candle whose high is higher than the candles around it, marking a point where buyers pushed price up and then lost the argument. A swing low is the mirror image: a trough where sellers pressed down and were overwhelmed. Simple enough in a sentence. The trouble starts when you try to mark them on a live chart, because "the candles around it" is doing a lot of undefined work in that definition — and vague definitions are where trading discipline goes to die.

## Making it mechanical

So let's make it mechanical. A common and perfectly serviceable rule is the *three-candle swing*: a swing high is a candle whose high exceeds the high of the candle before it and the candle after it; a swing low is a candle whose low undercuts the low of its neighbours on both sides. Some traders prefer a stricter five-candle version — two lower highs on each side — which filters out minor wobbles at the cost of marking the swing later.

Neither version is "correct." What matters is that you pick one and apply it identically every time. The purpose of a mechanical definition isn't precision for its own sake; it's that it removes you from the decision. A discretionary trader having a bad week will, without noticing, start seeing the swings that suit the position they're already in. A rule doesn't have bad weeks.

Notice one honest limitation: a three-candle swing high can only be confirmed after the third candle closes. You will always identify swings slightly after the fact. Beginners find this frustrating; experienced traders find it liberating. You are not trying to catch turning points as they happen — that's prediction. You are cataloguing turning points once they're confirmed, so the *sequence* of them can tell you something. Structure reading is history with a purpose.

## Significance: not all swings are equal

Mark every three-candle swing on a busy chart and you'll have dozens of dots, most of them noise. The next skill is grading them, and the grading principle is this: a swing matters in proportion to what happened around it.

A *major* swing is one that ends a substantial move and begins another substantial move in the opposite direction — the trough in a sell-off that launched a two-week rally is a major swing low, and the market will remember it. A *minor* swing is a ripple inside a bigger move: the small pullback lows printed during a strong rally are real swings by the mechanical definition, but they're internal detail, not load-bearing walls.

A practical test: zoom out. If a swing is still visibly a turning point when you step from the one-hour chart to the four-hour, it's significant on both. If it vanishes into the body of a single higher-timeframe candle, it was minor. We'll formalise this in Chapter 7, but plant the idea now — significance is largely a question of how many timeframes can see the swing.

Suppose, as an illustration, GBP/USD sells off from 1.2800 to 1.2500 over two weeks, then rallies to 1.2750 over the following ten days. That 1.2500 trough is a major swing low: it ended one substantial move and began another. The three or four small dips printed on the way up to 1.2750 are minor swing lows — genuine by the rule, but supporting cast. If price later returns toward 1.2500, that level carries weight in a way the minor dips never will.




**Figure.** Price advancing in a sequence of higher highs and higher lows, with each confirmed swing marked. The zigzag is the market's skeleton: every trend definition in this course is built from exactly these labelled turning points.

## Your first chart exercise

Here is the chart work for this chapter, and it is the most important exercise in the book. Open a clean chart — no indicators — of a major pair on the four-hour timeframe. Scroll

back six months into history so you're not tempted to predict anything. Now work forward, candle by candle if your platform allows it, marking every swing high and swing low using the three-candle rule. Then go back over your marks and circle the major ones: the swings that ended one leg and started another.

Do this for three pairs. Yes, it takes a few evenings. What you are training is not knowledge — you already have the definition — but *perception*. After a few hundred repetitions, your eye stops seeing candles and starts seeing the zigzag directly, the way a musician stops seeing dots on a stave and starts hearing the tune. Every subsequent chapter assumes that perception is developing.

Log your work in the notebook. In particular, note the places where you hesitated: swings that felt ambiguous, clusters of small candles where the rule fired twice in quick succession, spikes from news candles that created technically-valid but suspicious-looking swings. Those ambiguous cases are not failures of the method. They are the market telling you where structure is genuinely unclear — and "unclear" is itself information, as we'll see when we start requiring clean structure before trusting a trend.

One warning before we assemble these atoms into trends. Because swings confirm late, there is a temptation to shortcut the rule — to mark a swing low the moment price bounces, before the confirming candles close. Resist it. An unconfirmed swing is an opinion; a confirmed swing is a fact. This entire course is an exercise in trading facts and holding opinions loosely, and the discipline starts here, at the atomic level.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> Swing highs and swing lows, identified by a fixed mechanical rule and graded by their significance, are the atoms of market structure — and marking hundreds of them by hand is how the skill becomes perception.

# Chapter 3 — Uptrends, Downtrends and Ranges Defined Objectively

## From atoms to molecules

Chapter 2 gave you swings. This chapter arranges them into the three states every market occupies: uptrend, downtrend, or range. The definitions are old — they trace back over a century to Dow Theory — and they have survived because they are simple, objective, and testable.

An **uptrend** is a sequence of higher highs and higher lows. Each confirmed swing high exceeds the previous swing high (HH), and each confirmed swing low sits above the previous swing low (HL). Buyers are winning both halves of the argument: they push price to new peaks, and when sellers counter, the counter runs out of steam earlier each time.

A **downtrend** is the mirror: lower highs (LH) and lower lows (LL). Sellers make new troughs, and every relief rally fails at a lower peak than the last.

A **range** is everything else — price oscillating between a rough ceiling and floor, with swings that neither consistently rise nor consistently fall. Ranges are not failed trends or broken charts; they are a state in their own right, and by most honest accounting markets spend as much time ranging as trending. A trend follower's relationship with ranges is straightforward: recognise them, and largely leave them alone.




**Figure.** A downtrend in its objective form: each rally stalls at a lower high and each decline extends to a lower low. When both conditions hold, the structure call is unambiguous — and it remains a downtrend until one of them fails.

## The definitions have teeth

Notice what these definitions quietly forbid. You may not call something an uptrend because it "feels bullish," because an indicator is pointing north, or because a pundit said so. Two higher highs and two higher lows, built from confirmed swings under your mechanical rule — that is the entry requirement, and one HH/HL pair is a *candidate* trend, not a confirmed one. Structure needs at least two full repetitions before it deserves the name.

Equally, the definitions tell you exactly what would change your mind, in advance. An uptrend stops being an uptrend when price prints a lower low, or when a rally fails to make a higher high and the subsequent decline breaks the last higher low. Not before. This is the quality that makes structure reading superior to vibes: the falsification condition is written into the definition. You know, before you ever risk a pound, precisely what the chart must do to prove your read wrong. Very few approaches to markets can say that, and the ones that can't tend to end in "I'll just give it a bit more room."

Let's run an illustration. Suppose EUR/USD prints a swing low at 1.0850, rallies to a swing high at 1.0950, pulls back to a swing low at 1.0890, then rallies to 1.0985. We now have: higher low (1.0890 > 1.0850) and higher high (1.0985 > 1.0950). One full repetition — a candidate uptrend. If the next pullback holds above 1.0890 and the next rally clears 1.0985, the structure is confirmed and the objective call is "uptrend." And the falsification line is already drawn: a decisive break below the most recent confirmed higher low turns the call off. No debate, no loyalty, no extra room.

## Ranges: the third state, honestly handled

Beginners treat ranges as an annoyance between trends. Treat them instead as a distinct regime with its own rules. In a range, the trend follower's core assumption — that direction persists — is explicitly false: price is taking direction and handing it back, over and over. Trading continuation inside a range means buying near the ceiling and selling near the floor, which is the market's most reliable donation scheme.

How do you identify a range objectively? By what the swings *fail* to do. If the last two swing highs are roughly level (neither meaningfully higher nor lower) and the last two swing lows likewise, you have a range. "Roughly level" deserves a number: many traders require a new high to exceed the old by some minimum — a fraction of recent average movement — before counting it as "higher." Without a threshold, a one-pip overshoot technically makes a higher high, and you'll talk yourself into trends that aren't there.




**Figure.** A market in its third state: swings oscillating between a rough ceiling and floor, making neither higher highs nor lower lows. For a trend follower the correct response to this chart is patience — the persistence assumption that funds the method is switched off here.

The disciplined response to a range is one of two things. Either stand aside on that timeframe and check whether a cleaner trend exists elsewhere — another pair, another timeframe — or wait for the range to resolve. Ranges end with a breakout, and a breakout that then builds fresh HH/HL or LH/LL structure is often the birth of the next trend. The trader who patiently mapped the range is first to recognise the birth. The trader who chopped away inside it is nursing six small losses and a headache.

## The state machine in your notebook

Here is the habit that turns this chapter into skill. For each pair you follow, keep a one-line structure log per timeframe you care about: date, state (up / down / range), and the level that would change the call. For example: *"EUR/USD, daily: uptrend; invalidated below 1.0890."* Update it a few times a week. Ten minutes, tops.

This log does three jobs. It forces the objective read, because you can't write "uptrend" without the swings to back it. It pre-commits your falsification level while you're calm and neutral, so the decision isn't made in the heat of an open position. And over months it becomes a record of your accuracy — you'll see exactly how often your structure calls held and how quickly you recognised transitions. The traders who improve fastest are, boringly, the ones with the best records of being wrong.

The chart work for this chapter follows directly: take the swing-marked charts from Chapter 2 and label the states. Shade the uptrending stretches, the downtrending stretches, the ranges. Note the transitions — where exactly did the chart stop being one thing and become another? You'll find the transitions are the hard part. Good. That difficulty is the subject of the next chapter.

> **CHAPTER 3 IN ONE SENTENCE:**
>
> An uptrend is confirmed higher highs and higher lows, a downtrend is lower highs and lower lows, a range is neither — and each definition carries its own built-in falsification level, which is what makes structure reading objective rather than vibes.

# Chapter 4 — Break of Structure vs Ordinary Pullback

## The only question that matters mid-trend

Every trend spends most of its life retreating. That sounds wrong, but count the candles: in a healthy uptrend, a large share of them are red. Price surges, then gives some back; surges, gives back. So the question you will face more often than any other in this business is this: *is the current retreat an ordinary pullback within the trend, or the beginning of the end?*

Get this right and everything downstream gets easier — you hold winners through noise and exit losers before they metastasise. Get it wrong in one direction and you'll be shaken out of every good trend by the first red week; get it wrong in the other and you'll ride broken trends into the ground, adding on the way down, telling yourself it's a pullback right up until the account statement disagrees.

Structure gives us a clean dividing line. In an uptrend, an **ordinary pullback** is a decline that holds above the most recent significant higher low. Price can fall hard, look ugly, trigger every alarm in your nervous system — and as long as that swing low holds on a closing basis, the structure is intact. Nothing has broken. A **break of structure (BOS)**, by contrast, is price decisively taking out that higher low. The defining pattern of the uptrend — each retreat ending above the last — has failed, in public, on the chart.

## What "decisively" means

That word "decisively" is carrying weight, so let's unpack it, because the difference between a break and a fake-out lives inside it.

First: closes beat wicks. A candle that spikes below the prior higher low and closes back above it has not, for most practical purposes, broken structure — it has *tested* it. Intraday spikes through obvious swing levels are common, partly because those levels are exactly where clustered stop-losses sit and the market has a well-documented habit of probing them. A close beyond the level is a materially stronger statement than a wick beyond it. Many traders go further and require the close on the timeframe they're reading — a four-hour structure needs a four-hour close through the level, not a five-minute one.

Second: margin matters. A close a fraction of a pip beyond a swing low is technically a break and practically a coin toss. A sensible filter is to require the close to clear the level by some meaningful buffer — a proportion of the pair's recent average range is a common choice. You will occasionally be slow to recognise a genuine break because of this filter. Accept it. Being slightly late on real breaks is a fair price for ignoring most fake ones.

Third: what happens *next* is part of the evidence. A genuine break of structure is usually followed by continuation — price moves on from the broken level, and often the old support gets retested from below and rejected, confirming that the market now treats it as resistance. A fake break snaps back inside old territory quickly. You are allowed to update your read as candles arrive. Structure reading is not a single verdict; it's a running commentary.




**Figure.** A change of character: an uptrend's final higher low gives way on a closing basis, and the first lower high forms above it. The single broken swing is the earliest objective evidence that the persistence funding the trend has stopped.

## A worked illustration

Suppose — illustration only — USD/JPY has been trending up on the four-hour chart: higher lows at 148.20, 149.10 and 149.80, with highs advancing in step. Price then rolls over from 151.40 and starts falling. Here is the structure-reader's decision tree, written before emotion gets a vote.

While price is above 149.80, this is a pullback by definition. It may be a deep one; it may feel dreadful; it changes nothing objectively. If a four-hour candle closes below 149.80 with meaningful margin, the most recent higher low is gone — that is a break of structure, and the uptrend can no longer be called intact. Note what a single BOS does and doesn't mean: it *ends the uptrend call*; it does not, by itself, *begin a downtrend call*. A downtrend needs its own credentials — lower highs and lower lows, plural. The honest label after one break is "structure damaged, trend in question," and the honest position for a trend follower is flat or reduced, not reversed.

If price then rallies but stalls below 151.40 — a lower high — and subsequently breaks the new low, the downtrend has earned its name. Some traders call that first break a *change of character* (CHoCH): the moment the market stops behaving one way and starts auditioning for the other. Whatever you call it, the sequence is the point: break, lower high, lower low. Evidence stacking, not a single dramatic candle.

## The psychology of the broken level

Now the part no diagram teaches. When structure breaks against a position you hold, you will not want to see it. You will find reasons: the close was only just beyond the level, the market's thin today, the news distorted it, your *real* level was actually a bit lower. Every trader who has blown up an account has fluent command of this vocabulary.

The defence is pre-commitment. This is why Chapter 3's notebook habit insists you write down the invalidation level *before* it's threatened. A level chosen while flat is analysis; a level renegotiated while losing is cope. When your pre-written line breaks by your pre-written definition, the thesis is dead, and the only question left is execution. You are not obliged to instantly reverse, predict, or understand *why* it broke. You are only obliged to stop acting as if the trend were intact — because the chart, which is the only witness that matters, says it isn't.

The chart work: return to your labelled charts from Chapter 3 and find every transition point. For each, identify the exact candle where structure objectively broke by your rules — then look at how much earlier your eye *wanted* to call it, or how much later you'd have hung on. That gap between your rule and your instinct is your bias, measured. Most traders discover they have one strong tendency or the other. Knowing which one you are is worth more than any indicator.

> **CHAPTER 4 IN ONE SENTENCE:**
>
> A pullback holds the most recent significant swing point and changes nothing; a break of structure closes decisively through it and ends the trend call — and the entire discipline lies in writing down that line before the market tests you on it.

# Chapter 5 — Impulse and Correction: The Rhythm of Trends

## Two kinds of movement

Watch any trend closely and you'll see it breathes in two distinct ways. There are stretches where price moves *with intent* — long-bodied candles, one after another, in the trend's direction, covering ground quickly. And there are stretches where it drifts — smaller candles, overlapping, mixed colours, going mostly sideways or gently against the trend. The first kind is called an **impulse** (or expansion); the second a **correction** (or contraction). A trend is simply impulses in one direction stitched together by corrections.

This rhythm is not decoration; it's information about who's in charge. Impulses are what it looks like when one side of the market is dominant and in a hurry — orders hitting the market faster than the other side cares to absorb them. Corrections are what it looks like when the aggressor pauses: profit-taking, position-building, the market catching its breath. Crucially, in a healthy trend, the impulses point *with* the trend and the corrections against it. The strong moves and the structure agree about direction. When that stops being true — when the sharpest, fastest moves start appearing against the prevailing structure — the trend is telling you something is changing, often before any swing level actually breaks.

## Reading the character of each leg

So beyond marking *where* swings are, start grading *how* price travels between them. Three practical measurements, none requiring an indicator:

**Distance and speed.** Compare each with-trend leg to the last. An uptrend whose impulses cover 150, 140, 160 points is cruising. One whose impulses shrink — 150, 90, 40 — is running out of willing buyers, even while it technically still prints higher highs. Shrinking impulses are the trend equivalent of an engine misfiring: still moving, worth watching closely.

**Depth of correction.** How much of each impulse does the following correction give back? Shallow retracements — roughly a third to a half of the prior leg — suggest the dominant side is impatient, buying dips early. Deep retracements that claw back most of the impulse suggest conviction is fading. Traders often frame this with Fibonacci retracement levels, and you may use them as a measuring convenience — but hold the tool loosely. There is nothing magical about 61.8%; it's a ruler, not a reason. The underlying question is always the same: are pullbacks getting deeper or shallower?




**Figure.** An impulse higher followed by a correction into the commonly-watched retracement band before the trend resumes. Treat the ratios as a measuring convenience, not a magic level — the real information is whether corrections are staying shallow or growing deeper as the trend ages.

**Character of correction.** Healthy corrections tend to be *choppy and overlapping* — a grudging drift against the trend, often forming the flags and small channels chartists name. A correction that instead moves in a single violent leg, with the kind of candles you'd expect from an impulse, deserves suspicion: counter-trend moves aren't supposed to look that confident. When the correction starts out-impulsing the impulses, the labels may be about to swap.

## A worked illustration

Suppose — as ever, an illustration of technique — AUD/USD is trending up on the daily chart. Leg one: a nine-day impulse from 0.6400 to 0.6580, big-bodied candles, barely a pause. Correction: six days of overlapping drift back to 0.6510 — roughly 40% of the leg, choppy, reluctant. Leg two: another impulse to 0.6660. So far, textbook: impulses with the trend, shallow grudging corrections against it.

Now leg three: price grinds from 0.6600 to 0.6690 — a higher high, technically — but it takes eleven days, the candles are small, and the leg covers barely half the ground of the earlier impulses at half the pace. Then the next correction drops 0.6690 to 0.6580 in three sessions of long red candles, giving back the whole leg and more, though still holding above the last major higher low.

By Chapter 4's rules, nothing has broken; structure is intact and no falsification level has been hit. But by this chapter's reading, the trend's *character* has deteriorated on all three

measurements: the impulse shrank and slowed, the correction deepened, and the fastest move on the chart now points down. A structure reader who only tracks swing levels is fully committed here. A structure reader who also tracks rhythm is alert, perhaps tightening risk, certainly not adding. Both are being objective; the second has more instruments on the dashboard.

## Rhythm as early warning, structure as verdict

Keep the hierarchy straight, because it protects you from both kinds of error. Rhythm — impulse quality, correction depth — is an *early warning system*. It degrades before breaks happen, which makes it valuable, but it also throws false alarms: plenty of trends slow down, digest for weeks, and then resume with full force. If you exited every trend the moment an impulse shrank, you'd catch fewer of the big moves that make the method pay.

Structure — the swing framework of Chapters 3 and 4 — is the *verdict*. It changes later than rhythm, but when it speaks, it's definitive. The practical marriage: let deteriorating rhythm make you defensive (tighten stops, take partial profit, decline new entries), and let broken structure make you act (exit the trend thesis entirely). Warning light versus red card. Confusing the two — acting on every warning, or ignoring the red card because the warnings had cried wolf before — is where discretionary trend-following usually goes wrong.

Chart work for this chapter: go back over the trends you shaded in Chapter 3 and mark each leg as impulse or correction. For every trend that eventually broke, look at the final two or three legs before the break. In your notebook, record how often the rhythm deteriorated *before* the structural break — impulses shrinking, corrections deepening — and how often the break arrived with no warning at all. You'll likely find warnings were common but not universal. That's the honest shape of the tool: useful, imperfect, and worth having on the dashboard.

> **CHAPTER 5 IN ONE SENTENCE:**
>
> Trends breathe in impulses and corrections, and while broken structure is the final verdict, deteriorating rhythm — shrinking impulses, deepening corrections, violent counter-moves — is the early-warning system that usually flickers first.

# Chapter 6 — Trendlines and Channels Done Properly

## The most abused tool in charting

Every charting platform ships with a trendline tool, and most retail traders use it the way a toddler uses a crayon: enthusiastically, everywhere, and without a system. Open a typical beginner's chart and you'll find a spider's web of lines at every angle, each one drawn to justify a feeling, none of them drawn the same way twice. Then, when price slices through one, the line is quietly deleted and redrawn somewhere friendlier. This is not analysis. It's decoration with a feedback problem.

Here's the editorial position of this book, stated plainly: trendlines are a *secondary* tool. The trend is defined by swing structure — higher highs and higher lows, or their mirror — full stop. A trendline is merely a way of visualising the pace of that structure. When a trendline and swing structure disagree, structure wins, every time. Traders get into trouble precisely when they promote the line above the structure it was supposed to summarise — exiting healthy trends because a sloped line was touched, or holding broken ones because a generously redrawn line hasn't been.

Used with that humility, trendlines earn their keep. A well-drawn line shows you a trend's rhythm at a glance, flags acceleration and deceleration, and gives you a fast visual cue for where pullbacks have tended to end. So let's draw them properly.

## Rules for a line worth keeping

**Rule one: connect swing points, not stray wicks or fancies.** An uptrend line runs under the market, connecting swing *lows* — the confirmed ones from your Chapter 2 rule. A downtrend line runs over the market, connecting swing highs. If you can't say which two swings your line connects, delete it.

**Rule two: two points draw a line; the third validates it.** Any two points can be connected — that proves nothing. The line becomes meaningful when a third pullback respects it. Before the third touch, treat the line as a hypothesis in pencil.

**Rule three: decide your anchoring convention and keep it.** Wicks or candle bodies? Traders argue about this endlessly; the boring truth is that either works if you're consistent, and neither works if you switch whenever it flatters you. Expect the line to be a *zone* of a few pips' tolerance rather than a laser. Price does not owe your line precision.

**Rule four: never redraw to rescue a broken line.** If price closes decisively through a validated trendline, the line's information content is spent. You may draw a *new* line

reflecting the trend's new, shallower pace — trends often step down through several angles before ending — but relabelling the old line's break out of existence is the crayon habit again. Log the break; it's data.

**Rule five: respect what slope tells you.** A trendline's angle is the trend's speed. A line that's too steep — the near-vertical kind you can draw during a euphoric run — will break soon almost by arithmetic necessity, and its break usually means "pace normalising," not "trend over." A gentle, sustainable slope that has held for many touches breaking down is a far more serious statement. Same event, different meanings, distinguished by slope and history.

## Channels: the trendline's better half

Draw a line parallel to your validated trendline and place it against the opposite extremes — across the swing highs of an uptrend — and you have a channel. When price genuinely respects both rails, the channel is a picture of the trend's whole breathing pattern: corrections end at one rail, impulses stall at the other.

For a trend follower, channels offer two practical readings. The lower rail of an up-channel marks where pullbacks have habitually ended — useful context for the entry frameworks in Chapter 8. The upper rail marks where with-trend legs have tended to pause, which is sober information for managing expectations on an open position. And the *failure* modes are informative too: price that can no longer reach the upper rail is showing the shrinking-impulse symptom from Chapter 5, while price accelerating *out* of the channel's top can signal the unsustainable, euphoric phase that often precedes exhaustion. A channel doesn't just frame the trend; it makes deviations from rhythm visible at a glance.

One caution: genuinely clean channels are rarer than textbooks imply. If you're stretching tolerance on every touch to keep the picture alive, the market isn't in a channel — you're in a relationship with one.




**Figure.** The same market drawn twice: on the left, one validated trendline anchored to confirmed swing lows; on the right, the spider's web of speculative lines a beginner accumulates. The cluttered chart doesn't contain more information — it contains more excuses.

## A worked illustration, and the hierarchy restated

Suppose EUR/GBP has been in a daily uptrend for three months. You anchor a trendline under the first two major higher lows; a third pullback later touches and respects it — validated. Two more touches follow over the following weeks. This line now has history, and its gentle slope has proven sustainable.

Now price breaks it: a daily close clearly below the line. What do you actually know? Check structure before concluding anything. If the most recent higher low — sitting, say, some distance below the line — is still intact, then structurally this is a pullback that happens to be deeper-paced than the recent rhythm. The correct read: *the trend has decelerated; the trend has not broken.* You'd tighten attention, note it in the log, and watch that higher low. If instead the trendline break is followed by a close through the higher low itself, you have a break of structure by Chapter 4's rules, and the line merely gave you a few days' early notice — which is precisely the job description of a secondary tool.

That's the relationship to internalise: trendlines whisper first and are sometimes wrong; structure speaks later and settles the matter. Chart work: on your marked-up historical charts, draw trendlines under every shaded trend using the five rules, no redrawing allowed, and log what each break actually preceded — deceleration, or genuine structural failure. Counting the two outcomes will teach you more about trendlines than any book chapter, including this one.

**CHAPTER 6 IN ONE SENTENCE:**

A trendline is a secondary tool that visualises a trend's pace — drawn through confirmed swings, validated by a third touch, never redrawn to flatter a position — and when line and structure disagree, structure wins.

# Chapter 7 — Multi-Timeframe Structure Alignment

## One market, many magnifications

A currency pair does not have a trend. It has trends, plural, one per timeframe, and they frequently disagree. The daily chart of a pair can be printing textbook higher highs and higher lows while its one-hour chart is in a clean downtrend — and both readings are simultaneously, objectively correct. Neither chart is lying; they're different magnifications of the same order flow. The one-hour downtrend may simply *be* the daily uptrend's current pullback, seen close enough that it looks like a trend of its own.

This is the resolution to an argument you'll see wherever traders gather: two people shouting contradictory trend calls at each other, both right, because neither stated their timeframe. From this chapter on, no structure call in your notebook is complete without one. "EUR/USD is in an uptrend" is not analysis. "EUR/USD, daily: uptrend; four-hour: corrective downtrend within it" — that's analysis.

The relationship between timeframes is nested, like Russian dolls. A single daily candle contains twenty-four hourly candles' worth of structure: an entire hourly trend, break and reversal can live inside two or three daily candles that just look like an ordinary pullback. Which magnification is "true"? All of them. The practical question is never which timeframe is right, but which timeframes are *yours* — and how to make them cooperate instead of whipsawing you.

## The three-timeframe stack

The framework this course recommends is old, unfashionable, and works: three timeframes with a consistent ratio between them, roughly four-to-six-fold per step. Daily / four-hour / one-hour is a classic stack for traders who check charts a few times a day; four-hour / one-hour / fifteen-minute suits those at the screen more often. Pick a stack that matches your actual life — the best framework in the world fails if it needs you watching fifteen-minute candles during your day job.

Each timeframe has one job, and only one:

**The higher timeframe (HTF) sets the bias.** You read its structure by Chapter 3's rules, and its verdict is the direction you're willing to trade. HTF uptrend: you look for longs or nothing. HTF range: you stand aside or shrink expectations. You do not take entries from this chart; you take *permission* from it.

**The middle timeframe (MTF) is the working chart.** Here you track the current impulse-correction rhythm (Chapter 5), watch pullbacks develop, and identify the zones where the HTF trend might resume. Most of your actual analysis time lives here.

**The lower timeframe (LTF) is for triggers only.** Once the HTF bias and MTF setup agree, the LTF is where you watch for the specific confirmation — Chapter 8's territory. Its trend reading is otherwise ignored, which takes discipline, because the LTF is the loudest chart: always moving, always breaking some small structure, always tempting you into trades your stack hasn't sanctioned.

The power of the stack is the compound question it forces: *is the smaller timeframe's trend working with or against the larger one's?* An LTF downtrend inside an HTF uptrend is just a pullback wearing a costume — and the moment that LTF downtrend itself breaks (a change of character, Chapter 4) can mark the exact spot where the HTF trend resumes. That mechanism — HTF trend, MTF pullback, LTF reversal in the HTF's favour — is arguably the cleanest expression of trend-following that structure reading offers, and it's the engine of the next chapter.




**Figure.** The same pair at three magnifications: a higher-timeframe uptrend, a middle-timeframe pullback within it, and a lower-timeframe downtrend that is really just that pullback seen up close. The stack's question is always whether the small trend is working for or against the big one.

## A worked illustration

Suppose — illustration, as always — you run a daily / four-hour / one-hour stack on GBP/USD. The daily has printed higher highs and higher lows for two months; last major higher low at 1.2610, latest high 1.2890. Bias: long-only or flat. Price is currently pulling back from 1.2890 and sits at 1.2760.

On the four-hour, that pullback resolves into its own structure: lower highs and lower lows stepping down from 1.2890 — orderly, overlapping, corrective in character by Chapter 5's reading. Nothing alarming; the daily higher low at 1.2610 is a long way from threatened. Your MTF notes say: corrective decline, watching for it to end somewhere above 1.2610.

On the one-hour, you now wait for one specific event: the *pullback's own* structure to break upward — a change of character in the daily trend's favour. Until it happens, you do nothing, however oversold things look, however tempting the "discount." If instead the four-hour correction deepens and the daily closes below 1.2610, the bias itself is dead and the whole stack resets. Both outcomes are pre-defined. That's the point.

## Conflict, and what to do about it

The stack will often disagree with itself — HTF up, MTF ranging, LTF down — and the honest answer to conflict is usually *nothing*. Alignment is a filter, and a filter that never says no isn't one. Expect the stack to keep you out of the market much of the time; that's not the framework failing, it's the framework working. The trades it permits — all three magnifications cooperating — are a minority of what the market offers, and that's precisely why they're worth waiting for.

Two final warnings from the trenches. First, *timeframe shopping*: the habit of scrolling through magnifications until one agrees with the trade you already want. The defence is the fixed stack — three timeframes, chosen in advance, no substitutions mid-analysis. Second, *bias inertia*: an HTF bias, being slow-moving, tempts you to stop re-checking it. Re-read it on schedule, every time, from the swings, as if you'd never seen the chart. Charts don't reward loyalty.

Chart work: pick one pair and write the three-line stack report — HTF state and invalidation, MTF state and rhythm, LTF note — three times a week for a month. It takes five minutes and will do more for your structural fluency than any indicator you will ever install.

> **CHAPTER 7 IN ONE SENTENCE:**
>
> Every timeframe has its own objectively correct trend, so fix a three-timeframe stack — higher for bias, middle for the setup, lower for the trigger — and only act when the magnifications agree, which is less often than you'd like and exactly as often as you need.

# Chapter 8 — Trading With the Trend: Entry Frameworks

## From analysis to action — carefully

Eight chapters of reading structure; now the part everyone skips ahead to. A warning before we begin, and it's not boilerplate: everything here is a *framework* — a repeatable procedure you test on historical charts and demo accounts until you have your own evidence about how it behaves. Nothing here is a signal, and no example is an instruction. The entries below are how trend-followers structure the decision; whether any of it earns a place in your trading is something only your own testing can decide.

One principle governs everything in this chapter: **in an established trend, the high-percentage business is joining the trend during its corrections, in the direction of its impulses.** Chasing an impulse mid-flight means buying at the point of maximum recent enthusiasm, with the nearest structural stop a mile away. Waiting for the correction means entering where the trend has habitually refuelled, close to the level that proves you wrong. Same trend, radically different risk geometry.

## Framework one: the pullback-and-reclaim

This is the multi-timeframe engine from Chapter 7, formalised.

**Context:** the higher timeframe is in a confirmed trend by Chapter 3's rules — say, an uptrend. **Setup:** the middle timeframe is in a correction — a controlled counter-trend drift, corrective in character (Chapter 5), ideally arriving into an area of interest: the region of a prior breakout, the trend's validated trendline (Chapter 6), or a zone where previous pullbacks ended. **Trigger:** on the lower timeframe, the correction's own little downtrend breaks — a change of character in the larger trend's favour: the LTF prints a higher high through its last lower high, on a closing basis.

The logic is worth spelling out, because the logic is what you're actually trading. You are not predicting the pullback will end; you are *waiting for evidence that it has* — the pullback's own structure failing — and then aligning with the larger flow. Entered this way, the trade has a natural stop location: below the swing low the pullback just made. If price returns below that point, the reclaim has failed and the thesis — "the correction is over" — is simply wrong. Cheap to know, quick to learn.

Illustration: suppose the daily EUR/USD uptrend from Chapter 7's example, with the four-hour correction stepping down from 1.2890 toward 1.2700. The one-hour's corrective structure shows lower highs at 1.2820, 1.2780, 1.2745. Then price turns and closes above 1.2745 — the first higher high inside the correction. That close is the trigger event the framework

defines. The invalidation is the swing low the move launched from. Whether the trade "works" is unknowable in advance and beside the point; what matters is that entry, invalidation and reasoning were all defined by structure, before commitment, and would read identically to any other trader using the same rules.

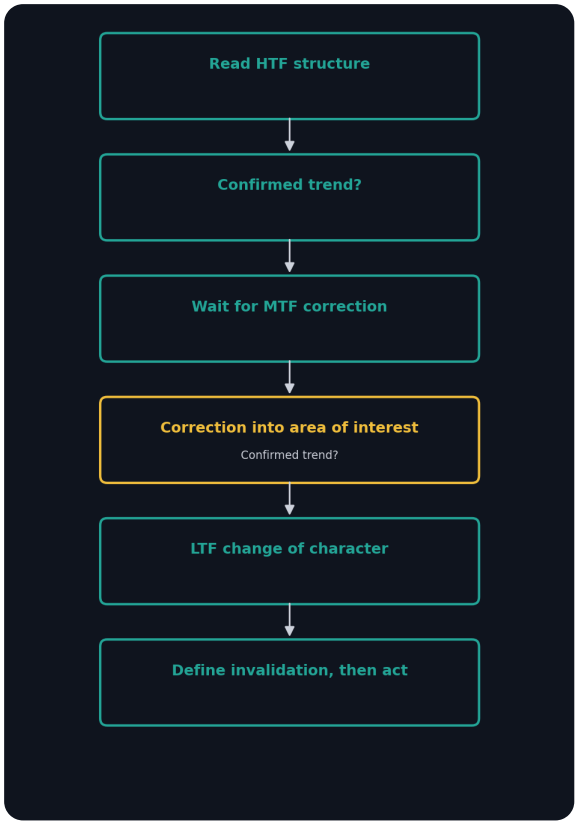



**Figure.** The pullback-and-reclaim sequence as a checklist. Every step is observable on the chart, and a 'no' at any stage means no trade — the framework's most frequent and most valuable output.

## Framework two: the break-and-retest

Trends extend by breaking levels — the old swing high in an uptrend, a range ceiling, a consolidation boundary. Buying the break itself is emotionally easy and structurally poor: you're paying the worst price of the week, into an area where fake-outs (Chapter 4) are common. The break-and-retest framework waits out that trap.

**Context:** established trend, price breaking a meaningful with-trend level on a decisive closing basis. **Setup:** price returns to the broken level — the retest — and the level that was resistance now behaves as support: the decline into it stalls, LTF selling pressure dries up. **Trigger:** rejection at the retested level — a lower-timeframe reclaim, much like framework one, launching from the old level's zone. Invalidation: a decisive close back through the level, which would mark the original break as failed.

The psychology underneath: a genuine breakout leaves trapped traders (who sold the old resistance) and latecomers (who missed the break) — and both groups generate buying interest at the retest, one covering, one entering. When that interest shows up on schedule, the break is confirmed in the most practical way possible: by behaviour, not by hope. When

it doesn't — when the retest slices straight through — you've been told the break was hollow, at the cost of no position at all.




**Figure.** Price breaks a with-trend level, returns to test it from above, and finds the old ceiling acting as a floor before continuing. The retest is the market re-examining its own decision — and the trend follower's invitation arrives only if the decision survives.

## Managing the trade the same way you found it

Structure got you in; structure manages you. Three rules keep the whole operation consistent.

**Stops live beyond structure, not at round numbers of pips.** The stop belongs beyond the swing point whose failure would kill the thesis — below the reclaim low, below the retested level. If that distance is too large for your risk limits, the answer is a smaller position or no trade, never a nearer, thesis-free stop.

**Risk is fixed before entry.** A common convention is risking a small fixed fraction of the account per trade — many traders use somewhere around one percent — so that the inevitable string of failed entries is an annoyance, not an event. Trend-following entries fail often; the method's economics depend on the failures being small and the occasional trend-ride being large. Position sizing is covered fully elsewhere in this series, but no entry framework survives without it.

**Exits follow Chapter 4.** The trend-following exit is the trailed structural stop: as the trend prints new confirmed higher lows, the stop moves up behind them, and the position lives until structure breaks. This is emotionally hard — you will watch open profit retrace during every correction, and you will sometimes give back what looks like a fortune before the break arrives. That give-back is not a flaw; it is the fee the method charges for keeping you

aboard the trends that run much further than anyone expected. Traders who can't pay the fee take quick partial profits instead, and that's a legitimate compromise — but decide your policy in advance and write it down, because a policy improvised mid-trade is just mood with a spreadsheet.

Chart work: take your marked historical trends and walk them forward candle by candle, paper-executing both frameworks by the letter — every entry, every invalidation, every trailed stop, logged. Do thirty of these before a demo account, and a hundred on demo before anything else. The frameworks are simple; your evidence about them has to be earned.

**CHAPTER 8 IN ONE SENTENCE:**

Join established trends during their corrections — via the pullback-and-reclaim or the break-and-retest — with the stop beyond the structure that defines the trade, the risk fixed in advance, and the exit dictated by the same swing-reading that got you in.

# Chapter 9 — Recognising Trend Exhaustion and Reversal

## All trends die; most traders are surprised

Every trend ends. This is the one forecast in this book made with complete confidence. And yet the end of a trend routinely catches its followers flat-footed, for a very human reason: the people best positioned to spot the death of a trend are the people most invested — financially and emotionally — in its survival. By the late stages of a good run, the trend has been paying you to believe in it. Scepticism starts to feel like ingratitude.

So this final chapter is about reading the symptoms of exhaustion with the same objectivity you've applied everywhere else — and about what "trading a reversal" should actually mean for a trend follower, which is rather less exciting than the phrase suggests.

First, a distinction that saves money: **exhaustion is not reversal.** Exhaustion is the trend losing energy — the symptoms below. Reversal is a new trend in the opposite direction, and by Chapter 3's rules it needs credentials: a break of structure, then lower highs *and* lower lows (or the mirror). Between the two sits a no-man's-land — often a long, choppy range — where the old trend is dead but nothing has replaced it. More money is lost in that no-man's-land, by traders demanding a verdict the market hasn't reached, than in the reversal itself.

## The symptoms, assembled

You already own most of the diagnostic kit; this chapter just points it at endings.

**Rhythm degradation (Chapter 5).** Impulses shrink and slow; corrections deepen and sharpen; the fastest candles on the chart start pointing against the trend. One degraded leg means little. A sequence of them means the dominant side is thinning out.

**Failure at the highs.** The classic terminal pattern in an uptrend: price pushes to a marginal new high — barely clearing the old one — and immediately gets sold hard. The breakout attracts the last buyers, and their reward is instant. When a market stops being able to *hold* new ground, the machine that built the trend has stopped working, even before any swing low breaks.

**Momentum divergence.** If you use an oscillator such as the RSI, the late-trend tell is divergence: price makes a higher high while the oscillator makes a lower one, suggesting the new high was achieved with less thrust than the last. Treat divergence exactly as you treat trendlines — a secondary witness, frequently early, never a verdict. Strong trends can

print divergence for weeks while grinding on. It sharpens attention; it doesn't authorise action.




**Figure.** Price grinds to a marginal higher high while the oscillator prints a lower one — the new peak achieved with less thrust than the last. Divergence is an attention-sharpener, not a verdict: the structural break still has to happen on the price chart itself.

**Acceleration and blow-off.** Paradoxically, one warning sign is the trend going *too well*: the near-vertical final leg, steeper than anything before it, often on some catalyst, with euphoria in the air. Unsustainable pace tends to resolve violently, because everyone who wanted in got in during the surge, leaving no one to buy the first dip.

**And then: the structural verdict (Chapter 4).** Break of the significant swing point. First counter-trend swing confirmed. Then the sequence — lower high, lower low — that gives the reversal its name. The symptoms above tell you to pay attention; only structure tells you the answer changed.

## A worked illustration

Suppose — illustration only, one last time — USD/CAD has trended up on the daily for four months: clean HH/HL, orderly rhythm, higher lows at 1.3550, 1.3640, 1.3720. Then the character shifts. The push above the old high at 1.3860 gains only twenty-odd points before reversing in two long red days — a marginal high, sold hard. The rally that follows stalls below 1.3880: the first candidate lower high. Rhythm has been degrading for weeks — the last two impulses each smaller than the one before, the last correction the deepest of the trend — and the daily RSI printed a lower high against price's higher high.

Count the evidence: degraded rhythm, failure at the highs, divergence, candidate lower high. Four witnesses, zero verdicts — 1.3720 still holds, and by the book this remains an uptrend in a deep pullback. What does the framework actually ask of you here? Defence, not prophecy. No new longs (the stack no longer agrees with itself); existing trend positions on tightened structural stops; and a pre-written line in the notebook: *below 1.3720 on a decisive daily close, the uptrend call is dead.* If that close comes, the call flips to "structure broken, no trend" — and only if a lower high and lower low then print does "downtrend" enter the log, with the whole toolkit of Chapters 5 to 8 now running in mirror image.

Notice what never appeared in that sequence: picking the top. The trader above exits worse than the perfect top and enters any new downtrend later than the visionary who sold 1.3880. In exchange, they were never once positioned against confirmed structure. Over a career, that trade — the middle of trends for the tops and bottoms of them — is the whole business model of trend following, and it's a good one.

## The generous truth at the end of the book

Here's the closing thought, and it's meant kindly. Nothing in this book is secret. Swing highs and lows, Dow's definitions, breaks of structure, pullback entries — these ideas are over a century old and available to anyone. If knowledge were the edge, everyone who'd read a charting book would be rich. The edge, such as it is, lives somewhere less glamorous: in actually doing the chart work until structure is perception rather than effort; in writing down invalidation levels while calm and honouring them under fire; in sitting out the ranges and the conflicts and the no-man's-lands; in letting the method be boring.

You now have the complete skeleton: what a trend is, how to know objectively when it's alive, pausing, exhausting, or dead, and how to align with it at each stage. What you don't yet have is the few hundred hours of marked-up charts that turn the skeleton into reflex — and no book can hand you those. Go slowly. Use the demo account without embarrassment; every good trader served that apprenticeship. Keep the notebook honestly, especially the wrong calls. And when the market makes you look foolish, as it will, remember that the framework already priced that in: being wrong cheaply and often is not the failure state of trend following. It's the tuition. See you in Course 3.

> **CHAPTER 9 IN ONE SENTENCE:**
>
> Exhaustion shows up as degrading rhythm, failed new highs, divergence and unsustainable acceleration — but exhaustion only earns the name reversal when structure breaks and a full opposite sequence confirms, so the trend follower's job at the end of a trend is defence first, verdict second, and top-picking never.

# The One-Page Version

1. **Trend is your default, not your guarantee.** The direction price has been travelling is the least-bad assumption about where it goes next; treat it as a compass, never a promise.
2. **Structure is built from swings.** Identify swing highs and lows with one fixed mechanical rule (e.g. the three-candle swing), grade them major or minor, and only trust confirmed swings.
3. **Define the three states objectively.** Uptrend = higher highs and higher lows; downtrend = lower highs and lower lows; anything else is a range, and ranges are for standing aside, not for trend trades.
4. **Know your invalidation before you need it.** Every trend call carries a built-in falsification level — the most recent significant swing point — and it gets written down while you're calm, not renegotiated while you're losing.
5. **Pullback versus break is decided by closes, not wicks or feelings.** A retreat that holds the last significant swing changes nothing; a decisive close through it ends the trend call — and one break ends a trend without yet starting the opposite one.
6. **Read the rhythm as early warning.** Shrinking impulses, deepening corrections and violent counter-moves flag trouble before structure breaks; let rhythm make you defensive and let structure make you act.
7. **Trendlines and indicators are secondary witnesses.** Draw lines through confirmed swings, validate on the third touch, never redraw to rescue a position — and when any tool disagrees with swing structure, structure wins.
8. **Fix a three-timeframe stack and demand agreement.** Higher timeframe for bias, middle for the setup, lower for the trigger; conflict between them usually means no trade, and that filter is the point.
9. **Enter on corrections, with structure-based stops and fixed risk.** The pullback-and-reclaim and the break-and-retest put your entry near the level that proves you wrong; risk a small fixed fraction per trade and trail exits behind new swing points.
10. **Expect every trend to die, and don't pick the top.** Exhaustion symptoms sharpen attention, but only a confirmed opposite sequence justifies calling reversal — the trend follower's business is the middle of trends, paid for by being wrong cheaply and often.

# Test Yourself — 15 Questions

**1. In this course, "trend is the trader's compass" means:** A) Trends guarantee profitable trades if followed patiently B) The prevailing direction is the least-bad default assumption for framing analysis C) A compass indicator should be added to every chart D) Counter-trend trades are impossible to execute

**2. Under the three-candle rule, a swing high is confirmed when:** A) Price touches a round number B) An oscillator reaches overbought C) A candle's high exceeds the highs of the candle before and after it, and the following candle has closed D) Two traders agree it looks like a peak

**3. A confirmed uptrend, objectively defined, requires:** A) A rising moving average B) At least two repetitions of higher highs and higher lows from confirmed swings C) One higher high on any timeframe D) Positive news about the currency

**4. Which best distinguishes an ordinary pullback from a break of structure in an uptrend?** A) The pullback lasts fewer than three candles B) A pullback holds above the most recent significant higher low; a break closes decisively through it C) A pullback happens only in quiet sessions D) A break of structure requires a news event

**5. Why does the course prefer closes over wicks when judging a structural break?** A) Wicks are not shown on most platforms B) Closes are always at round numbers C) Intraday spikes commonly probe obvious swing levels where stops cluster, so a close beyond the level is stronger evidence D) Wicks only occur in ranges

**6. After a single break of structure in an uptrend, the correct objective label is:** A) Confirmed downtrend B) Uptrend still intact C) Structure damaged, trend in question — a downtrend needs its own lower highs and lower lows D) Guaranteed reversal

**7. In a healthy uptrend, impulses and corrections typically look like:** A) Impulses point up and move fast; corrections drift against the trend, choppy and overlapping B) Impulses point down; corrections point up C) Both move at identical speed D) Corrections are always exactly 50% retracements

**8. Which combination is an early warning of trend exhaustion rather than a verdict?** A) A close through the last significant higher low B) Shrinking impulses and deepening corrections while structure still holds C) Two confirmed lower lows D) A completed lower high and lower low sequence

**9. A trendline becomes worth trusting when:** A) It connects any two wicks at a pleasing angle B) It has been redrawn to fit the latest price action C) It is drawn through confirmed swing points and a third touch respects it D) It is steeper than 45 degrees

**10. When a validated trendline breaks but the most recent significant higher low still holds, the course's reading is:** A) The trend has reversed and shorts are triggered B) The trend has decelerated but not structurally broken — structure outranks the line C) The line should be redrawn so the break disappears D) The chart is unreadable

**11. In the three-timeframe stack, the higher timeframe's job is:** A) Providing precise entry triggers B) Setting the directional bias you're willing to trade C) Counting candle patterns D) Timing news releases

**12. A one-hour downtrend inside a confirmed daily uptrend is best read as:** A) A contradiction proving one chart is wrong B) A reason to trade both directions at once C) Very likely the daily trend's pullback seen at higher magnification D) A signal to abandon the pair

**13. In the pullback-and-reclaim framework, the trigger event is:** A) The pullback reaching a Fibonacci level B) The lower timeframe's corrective structure breaking in the higher-timeframe trend's direction, on a closing basis C) An oscillator crossing 50 D) The higher timeframe printing any green candle

**14. Where does the course say a stop-loss belongs?** A) A fixed number of pips from entry, regardless of the chart B) At the nearest round number C) Beyond the structural point whose failure would invalidate the trade's thesis D) Wherever the position size allows the largest trade

**15. Bearish RSI divergence at new highs should be treated as:** A) A standalone signal to sell immediately B) Proof the trend has reversed C) A secondary attention-sharpener that still requires a structural break for any verdict D) Meaningless in all cases

## Answer Key

**1. B** — Trend is framed as the least-bad default assumption, a compass giving direction without promising outcomes.

**2. C** — The three-candle rule is mechanical: a high above both neighbours, confirmed only once the third candle closes.

**3. B** — One HH/HL pair is only a candidate; the course requires at least two full repetitions from confirmed swings.

**4. B** — The dividing line is the most recent significant swing point: held means pullback, decisively closed through means break.

**5. C** — Swing levels attract stop-runs, so wicks through them are common; closes carry materially more evidential weight.

**6. C** — A single break ends the uptrend call but a downtrend must earn its own credentials with LH and LL, plural.

**7. A** — Healthy trends show fast with-trend impulses and grudging, overlapping counter-trend corrections.

**8. B** — Rhythm degradation is the early-warning system; the other options are structural verdicts.

**9. C** — Two points draw a hypothesis; the third respected touch validates it — and redrawing to rescue a line is forbidden.

**10. B** — Trendlines are secondary tools; with the higher low intact, the break signals deceleration, not structural failure.

**11. B** — The higher timeframe grants directional permission; entries and triggers belong to the lower charts.

**12. C** — Timeframes are nested, so a lower-timeframe counter-trend is usually the higher timeframe's correction up close.

**13. B** — The framework waits for evidence the correction is over: its own structure breaking in the larger trend's favour on a close.

**14. C** — Stops live beyond thesis-defining structure; if that's too far for your risk limit, reduce size or skip the trade.

**15. C** — Divergence is a secondary witness that sharpens attention; only price structure delivers verdicts.

# Appendix — The Glossary, in Plain English

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

**Ask**
The price you buy at. Always a touch higher than the bid — the gap is the spread.

**Base currency**
The first currency in a pair. The price says how much of the second one unit of this buys.

**Bearish**
Expecting a price to fall. The bear swipes down.

**Bid**
The price you sell at.

**Breakout**
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

**Bullish**
Expecting a price to rise. The bull tosses up.

**Candlestick**
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

**Central bank**
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

**Cross**
A pair without the US dollar in it, like EUR/GBP.

**Drawdown**
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

**Economic calendar**
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

**Entry**
The price where your trade opens.

**Exotic**
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

**Fill**
The actual price your order executed at, which is not always the price you asked for.

**Fundamentals**
The economic story behind a currency: growth, inflation, interest rates, politics.

**Going long**
Buying — profiting if the price rises.

**Going short**
Selling first — profiting if the price falls. Completely normal in forex.

**Leverage**
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

**Liquidity**
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

**Lot**
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

**Major**
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

**Margin**
The deposit your broker holds while a leveraged trade is open.

**Margin call**
The broker telling you your account can no longer support your open trades. You never want the call.

**Pip**
The market's inch — the standard unit of price movement, usually the fourth decimal place.

**Pipette**
A tenth of a pip. Fine print.

**Position sizing**
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

**Quote currency**
The second currency in a pair — the one the price is counted in.

**R-multiple**
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

**Range**
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

**Resistance**
A ceiling where selling has repeatedly shown up.

**Retest**
Price returning to a broken level to check it holds from the other side. The polite entry.

**Risk-reward**
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

**Slippage**
The difference between the price you wanted and the price you got, usually in fast markets.

**Spread**
The gap between bid and ask — the cost of every trade, paid on the way in.

**Stop loss**
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

**Support**
A floor where buying has repeatedly shown up. The market's memory.

**Swap**
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

**Take profit**
The pre-set exit that banks the win at your target.

**Trend**
The market's prevailing direction — higher highs and higher lows up, the mirror down.

**Volatility**
How violently a market moves. Opportunity and danger are the same number.

# Continue Your Journey

This book is Playbook 2 of 15 in Trading Foundry University. Everything below is free:

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